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IT Risk Success and Failure

Netflix made a very bold move when they chose to shift its entire operation, every movie and user account to Amazon's cloud (Kovvuru). At the time, this was a big gamble; if the internet couldn't handle it, their business was finished. But the bet paid off immensely. By embracing the cloud, Netflix gained the superpower of infinite scalability, allowing it to grow into the global streaming giant we know today.

On the other hand, Target Canada made a huge mistake when they rushed to open over 100 stores (Dalhoff). Target's new inventory system was completely unprepared for the real world. The software was so flawed that it couldn't tell what was actually on store shelves. This created a nightmare for customers, who faced empty aisles right next to overstocked bins of unwanted products. These IT problems burned through billions of dollars and led to Target's retreat from Canada in less than two years.

What separates a winner from a failure? I don't think it's completely luck but it can have its factor if you play your cards right. Netflix didn't just flip a switch, they spent years carefully moving and constantly testing and adapting. Target made the mistake of going big right from the launch, ignoring the warnings at early stages, and charged ahead with a system that wasn't ready.

Preparation and mindset create a successful company when approaching a huge risk with planning for failure, and having a good tech team to solve problems. A failure stems from an inflexible, rushed plan, and a culture that doesn't listen to people who see the red flags. While luck is in the mix, you make your own luck by how you prepare.

Citations

1. Kovvuru, I. (n.d.). How netflix designed its Global Cloud Architecture on AWS: The real reason netflix moved to AWS | by Ismail Kovvuru | Nov, 2025 | medium.
<https://medium.com/@ismailkovvuru/how-netflix-designed-its-global-cloud-architecture-on-aws-the-real-reason-netflix-moved-to-aws-0d823994ce46>
2. Dahlhoff, D. (2015, January 20). *Why Target's Canadian expansion failed*. Harvard Business Review. <https://hbr.org/2015/01/why-targets-canadian-expansion-failed>